Synthetic – for demonstration only. Fictitious document based on Xero Demo Company (AU) data.

DEMO COMPANY (AU) PTY LTD
ACN 900 043 021 ABN 25 900 043 021
FINANCIAL REPORT FOR THE FINANCIAL YEAR ENDED 30 SEPTEMBER 2026

STATEMENT OF FINANCIAL POSITION AS AT 30 SEPTEMBER 2026

	Note	30 Sep 2026 AUD	30 Jun 2026 AUD (unaudited)
Assets			
Cash and cash equivalents		11,581.23	15,081.23
Trade receivables		10,199.50	-
Other receivables (accrued interest)		48.53	-
Office equipment		-	-
Total assets		21,829.26	15,081.23
Liabilities			
Bank overdraft	3	10,900.44	4,572.22
Trade and other payables		4,005.07	-
GST and PAYG withholding		8,801.97	(791.20)
Employee benefit liabilities		8,958.56	-
Loan from director	3	19,212.21	19,212.21
Total liabilities		51,878.25	22,993.23
Net liabilities		(30,048.99)	(7,912.00)
Equity			
Accumulated losses		(30,048.99)	(7,912.00)
Total equity (deficiency)		(30,048.99)	(7,912.00)

All assets and liabilities are current. The comparative figures are unaudited and include the opening bank balances and the loan from the director (note 1).

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DEMO COMPANY (AU) PTY LTD
ACN 900 043 021 ABN 25 900 043 021

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE FINANCIAL YEAR ENDED 30 SEPTEMBER 2026

	Note	3 months to 30 Sep 2026 AUD	Year to 30 Jun 2026 AUD (unaudited)
Revenue		32,431.00	4,200.00
Interest income		48.53	-
Employee benefits expense		(42,458.56)	-
Occupancy expenses		(6,356.00)	-
Other expenses		(5,801.96)	(12,112.00)
Loss for the period		(22,136.99)	(7,912.00)
Other comprehensive income		-	-
Total comprehensive loss		(22,136.99)	(7,912.00)

The current period is 3 months and the comparative period is 12 months, so the amounts are not entirely comparable (note 1).

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DEMO COMPANY (AU) PTY LTD
ACN 900 043 021 ABN 25 900 043 021

STATEMENT OF CHANGES IN EQUITY
FOR THE FINANCIAL YEAR ENDED 30 SEPTEMBER 2026

	Note	3 months to 30 Sep 2026 AUD	Year to 30 Jun 2026 AUD (unaudited)
Accumulated losses			
Balance at the beginning of the period		(7,912.00)	-
Loss for the period		(22,136.99)	(7,912.00)
Other comprehensive income		-	-
Total comprehensive loss for the period		(22,136.99)	(7,912.00)
Balance at the end of the period		(30,048.99)	(7,912.00)

Equity consists of accumulated losses only: the AUD 1.00 paid for the Company's 100 ordinary shares is included in the loan from the director (note 3). There were no transactions with owners in their capacity as owners in either period.

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DEMO COMPANY (AU) PTY LTD
ACN 900 043 021 ABN 25 900 043 021

STATEMENT OF CASH FLOWS
FOR THE FINANCIAL YEAR ENDED 30 SEPTEMBER 2026

	Note	3 months to 30 Sep 2026 AUD	Year to 30 Jun 2026 AUD (unaudited)
Cash flows from operating activities			
Loss for the period		(22,136.99)	(7,912.00)
Changes in operating assets and liabilities:			
Increase in trade receivables		(10,199.50)	-
Increase in other receivables		(48.53)	-
Increase in trade and other payables		4,005.07	-
Change in GST and PAYG withholding		9,593.17	(791.20)
Increase in employee benefit liabilities		8,958.56	-
Net cash used in operating activities		(9,828.22)	(8,703.20)
Cash flows from investing activities			
Net cash from investing activities		-	-
Cash flows from financing activities			
Net cash from financing activities		-	-
Net decrease in cash and cash equivalents		(9,828.22)	(8,703.20)
Cash and cash equivalents at 1 July		10,509.01	19,212.21
Cash and cash equivalents at end of period		680.79	10,509.01
Cash and cash equivalents at end of period comprise:			
Cash at bank		11,581.23	15,081.23
Bank overdraft	3	(10,900.44)	(4,572.22)
Total		680.79	10,509.01

Cash at bank is shown as cash and cash equivalents in the statement of financial position. The bank overdraft is repayable on demand and forms part of the Company's cash management, so it is included in cash and cash equivalents in this statement. No interest or income tax was received or paid in either period, and there were no non-cash investing or financing transactions. Cash flows from operating activities are presented using the indirect method.

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NOTES TO THE FINANCIAL STATEMENTS

1. Basis of preparation

These are general purpose financial statements prepared in accordance with the Corporations Act 2001 and Australian Accounting Standards - Simplified Disclosures. The Company is a for-profit proprietary company. Amounts are in Australian dollars.

The Company did not present financial statements for previous periods: these are its first financial statements prepared in accordance with Australian Accounting Standards, and the date of transition is 1 July 2025. No financial statements were prepared under a previous financial reporting framework, so there are no reconciliations to present.

By a resolution of 14 August 2026 under section 323D(2A) of the Corporations Act 2001, the sole director shortened the financial year that started on 1 July 2026 to end on 30 September 2026, to meet the shareholders agreement of 15 June 2026 and to align the reporting year with the October renewal cycle of the Company's customer contracts; later financial years end on 30 September. This financial report therefore covers the 3 months from 1 July 2026 to 30 September 2026. The comparative figures cover the 12 months ended 30 June 2026 and have not been audited. They include the opening bank balances and the loan from the director, which were entered in the accounting records on 16 July 2026 (journal #397). The amounts are therefore not entirely comparable.

Material accounting policies:

- Revenue is recognised as each contract's performance obligations are satisfied: monthly support fees in the month the support is provided; development work when it is complete and accepted under the contract; training when it is delivered; and on-site project management for each on-site day as it is provided.
- Office equipment, furniture and computer equipment costing AUD 1,000 or more (excluding GST) are capitalised and depreciated on a straight-line basis over 3 to 10 years; items costing less are expensed when bought.
- Liabilities for wages, annual leave and superannuation are expected to be settled within 12 months and are measured at the amounts expected to be paid.
- Revenue and expenses are shown net of GST; receivables and payables include GST.

2. Going concern

The Company incurred a loss of AUD 22,136.99 for the financial year ended 30 September 2026 and, at that date, its current liabilities exceeded its current assets by AUD 30,048.99. The Company's bank overdraft facility of AUD 15,000 is repayable on demand.

The Company depends on the continued financial support of its director and on the continued availability of the overdraft facility. The director has undertaken, for 12 months from the date of the auditor's report, not to demand repayment of the loan of AUD 19,212.21 or of further advances, and to provide further funds of up to AUD 40,000 if the Company needs them to meet its obligations. The director's cash flow forecast to October 2027 shows funding gaps in November 2026 and January 2027, which the director plans to fund under that undertaking.

These events and conditions indicate that there is a material uncertainty related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern and, therefore, that it may be unable to realise its assets and discharge its liabilities in the normal course of business. The financial statements have been prepared on a going concern basis and do not include any adjustments that might be needed if the Company could not continue as a going concern.

3. Related parties
Director: Alex Morgan is the sole director and holds 85 of the 100 shares.
Loan from director: AUD 19,212.21 at 30 September 2026 (30 June 2026: AUD 19,212.21), interest-free, unsecured and repayable on demand; it includes the AUD 1.00 paid for the Company's 100 ordinary shares. The director lent a further AUD 2,500.00 in October 2026 (AUD 1,000.00 on 12 October and AUD 1,500.00 on 15 October) on the same terms.
Guarantee: the director has personally guaranteed the Company's bank overdraft.
Victoria Property Agency Pty Ltd, a company of which the director and the director's spouse are the directors and each hold 50% of the shares, owned the Company's premises until 30 September 2026. The Company paid it rent of AUD 4,500.00 (excluding GST) for the period, at AUD 1,500.00 per month on a month-to-month arrangement without a written lease, ended on 30 September 2026.
Morgan Advisory Pty Ltd, controlled by the director, had no transactions with the Company. The director received no remuneration.

4. Events after the reporting period
- From 1 October 2026 the Company leases its premises from the new owner, Harbourview Nominees Pty Ltd, for two years at AUD 12,886.32 per year plus GST, and from 15 October 2026 it sublets room RM2031.
- In October 2026 the Company bought office furniture for AUD 6,300.00 to fit out the premises under the new lease, and a laptop for AUD 1,969.99 (both excluding GST).
- In October 2026 the director lent the Company a further AUD 2,500.00.

The financial statements were authorised for issue by the sole director, Alex Morgan, on 23 October 2026.

5. Auditor's remuneration
Fees of Tessellate Audit Partners for the audit of this financial report: AUD 4,800 (excluding GST) (year ended 30 June 2026: nil, as no financial report was prepared for that year). The auditor provided no other services in either period.

DIRECTOR'S DECLARATION
In the opinion of the sole director of Demo Company (AU) Pty Ltd:
(a) there are reasonable grounds to believe that the Company will be able to pay its debts as and when they become due and payable, having regard to note 2; and
(b) the financial statements and notes are in accordance with the Corporations Act 2001, including complying with Australian Accounting Standards - Simplified Disclosures and giving a true and fair view of the Company's financial position as at 30 September 2026 and of its performance for the financial year ended on that date.

This declaration is made in accordance with a resolution of the director.

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Alex Morgan, Director
23 October 2026